Morgan Stanley | RESEARCH

UPDATE

July 13, 2026 07:38 PM GMT

## Mercedes-Benz Group AG | Europe

# Moving East to keep leading on automobile manufacturing

We joined MBG management in a visit to the MBG plant in Hungary where the company plans to double production, starting now with the new electric C-Class. MBG has invested in cutting edge cost competitive manufacturing and the product pipeline is gradually showing up, allowing a strong dividend yield.

**Doubling capacity in the Hungary factory**. MBG has invested EUR 1bn from 2022 in the plant, which is the company's second largest globally and its largest factory in Europe. The plant extension ceremony included Hungary's Prime Minister and the minister of economy, showing support for MBG's plan to move from the current capacity of 200k units to 400k units, incrementally adding new models to the plant – starting now with the production of the new electric C-Class. The Kecskemet plant is very flexible and competitive, as a combination of lower salaries, longer working hours, more limited sick leave and lower energy cost allows for 70% lower factory cost vs Germany, with proximity to core European markets, but also able to export globally.

**MBG capacity shifting east, the right move to stay cost efficient, flexible and resilient.** The plan is to allocate production balancing investment vs labor cost (including automation optionalities), which should gradually maximize production in Hungary, retaining some flexibility to move some volume from/to plants in Germany. MBG's ongoing action plan is proactively addressing the market situation, targeting to become leaner, more flexible and cost competitive. Global installed capacity has already reduced from 2.5 million to 2.4 million (Mexico plant), targeting now 2.0-2.2 million with adjustments in Europe and China capacity, or even lower if needed. Part of that capacity is shifting to Hungary to address the labor cost and productivity issues in Germany.

**Cost focus, already in execution phase**. MBG's cost base has already decreased -10% from 2022 to 2024 and the company expects another -10% by 2027, with room to deliver more later, via technology (automation, robotics, AI, industrial capacity), cultural changes in Germany (increase working hours and reduce cost/hour), and moving volume to Hungary's cost-competitive operation. Negotiations with unions are open, but the needed outcome is crystal clear (stay competitive) and the board is committed to making it happen.

**Keeping the cost/quality balance**. MBG is not targeting to save cost on materials, the idea is to continue to invest in product (R&D) and automation in production, making lowering cost compatible with improving quality.

**Targeting 60-70% local production**. The idea is to increase the local for local footprint globally, getting closer to customers, to deal with trade barriers and

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**Mercedes-Benz Group AG (MBGn.DE, MBG GY)**

**Top Pick**

**Autos & Shared Mobility | Germany**

| | |
|---|---|
| **Stock Rating** | **Overweight** |
| **Industry View** | **In-Line** |
| **Price target** | **€65.00** |
| Shr price, close (Jul 13, 2026) | €44.29 |
| 52-Week Range | €62.34-42.63 |
| Mkt cap, curr (mn) | €42,399 |
| Net debt (12/26e) (mn)* | €(22,886) |
| EV, curr (mn)* | €18,649 |

* = GAAP or approximated based on GAAP

supply chain disruptions. MBG plans to increase local production in US from 30% (2026) to 50%, with a focus on SUV (including the new GLC). Europe production will focus on luxury and performance brands, also increasing localization from >80% to >85%, increasing top-end exports globally. In China, the idea is to localize entry and core portfolio, fully tapping the local value chain, also using China as an export hub to Asian markets.

**China situation not improving**. The China local market continues to be more difficult than expected. MBG's 1Q volume fall was around expectations but 2Q volumes were lagging behind, also with more EV weight, both margin dilutive. China dealers margins continue to be below break-even (covered by Shelley Wang), suggesting more dealers support may come in 2H, including volume adjustments that should be accounted in 2H26, but negotiations are still ongoing. On the other side, MBG's new product is gradually showing up in the dealers room, with attractive design, specifications and competitive pricing, in our view.

**No guidance change yet but impairments may be announced soon**. Europe and US are holding better, partially compensating for the situation in China, and FS continues to be at the high end of the range, suggesting positive FCF in 2Q, still falling sequentially due to inventory buildup in the quarter. It is likely that we see some non-cash asset adjustments already in 2Q26 as MBG marks to market some investments, still pending to see how those impact MBG guidance.

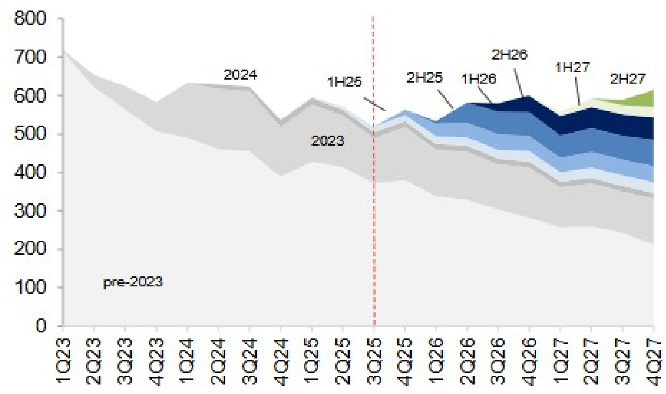
**Optionalities outside Autos**. Still at discussion stage, MBG could use industrial capacity to "responsibly" increase exposure to defence, adding drone production and other product lines. The company also presented their progress on humanoids, where MBG wants to set the standard, focusing now on simple tasks without precision (logistics, painting) while investing in data learning to lead the move once the technology is ready but not rushing to implement them in most assembly tasks (variable position tasks).

**Mercedes is our preferred European OEM and our Top Pick.** We think this market is permanently structurally altered, and we see limited profitability for volume legacy OEMs going forward, which are forced to rely on capacity and cost-cutting efforts. Following BMW's large profit warning, we see room for MBG to follow, as both companies share the premium positioning and exposure to China and Asian markets, the key debate being how much that pressure will translate into Europe and how well protected will those companies be by their product pipeline. Our preference for MBG is driven by expectations of a faster rollout of the new product vs BMW's Neue Klasse. Near term, MBG's sales, margins and FCF are below potential, but we think the stake in Daimler Truck provides meaningful support for its strong shareholder return commitment.

*Company comments are our interpretation of what was said, and should not be regarded as verbatim quotes.*

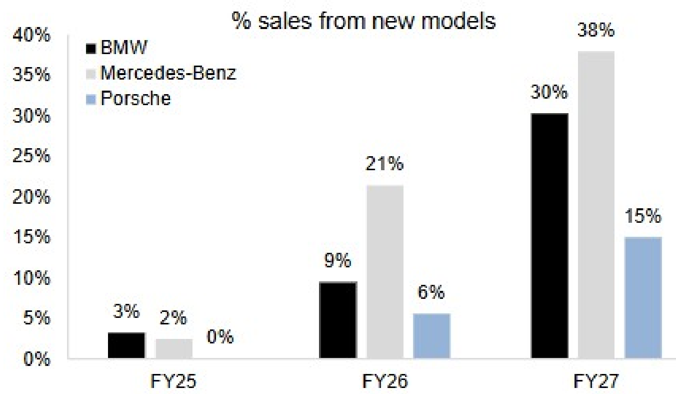
# MS estimates in a few charts

**Exhibit 1:** MBG new model releases by cohort: FY25-26 models to drive volumes




Source: S&P Global, Morgan Stanley Research. Note: Quarterly estimated production of models that are either absolutely new, or have undergone substantial changes. Cohort displays period of initial production.

**Exhibit 2:** New models could represent a higher proportion of sales than at peers



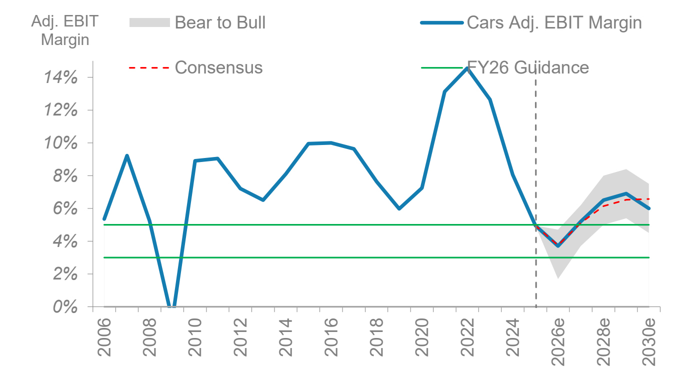

Source: S&P Global, VisibleAlpha, Morgan Stanley Research. Note: Estimated production of models that are either absolutely new, or have undergone substantial changes. Only includes OEM owned brands. Compares cumulative sales from new models introduced in FY25-27 to cons. unit sales.

**Exhibit 3:** MBG Guidance in perspective

| MBG - Guidance | | 2025 | 2026e Previous Guidance | 2026e Updated Guidance | 2026e Cons. |
|---|---|---|---|---|---|
| **Group Revenue** | **€ mn** | 132,214 | **At prior year level** | **At prior year level** | **130,948** |
| Group EBIT (reported) | € mn | 5,820 | Significantly above | Significantly above | 6,781 |
| **Cars RoS (EBIT Mg)** | **%** | **5.0%** | **3%-5%** | **3%-5%** | **3.8%** |
| Vans RoS (EBIT Mg) | % | **10.2%** | 8%-10% | 8%-10% | 9.1% |
| Mobility RoE | % | | 10-12% | 10-12% | |
| Ind. FCF | € mn | 5,414 | Slightly below | Slightly below | 4,440 |

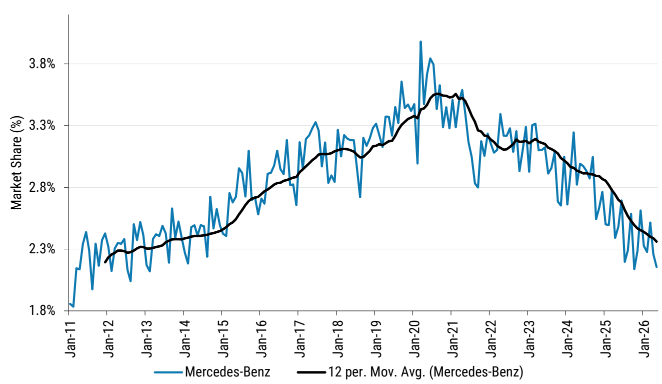
Source: MBG, Morgan Stanley Research estimates (e)

**Exhibit 4:** MBG Cars EBIT margin



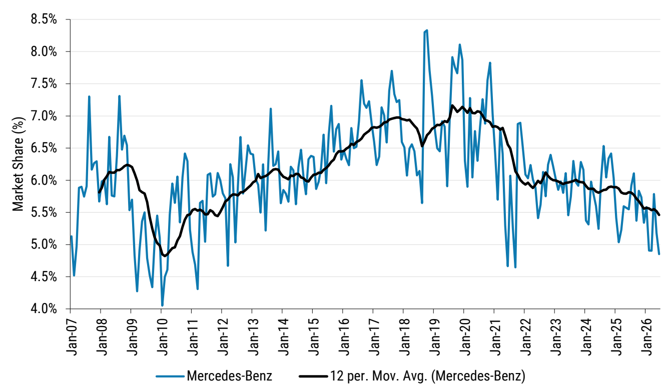

Source: MBG, Morgan Stanley Research estimates (e)

**Exhibit 5:** MBG global market share: MS sales tracker



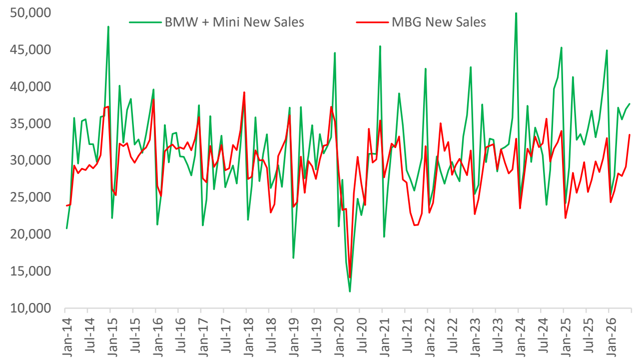

Source: Local auto associations, Morgan Stanley Research estimates

**Exhibit 6:** MBG EU-5 market share



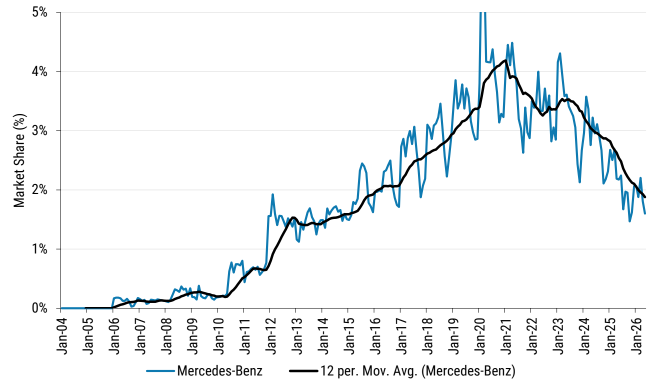

Source: Local auto associations, Morgan Stanley Research estimates

**Exhibit 7:** MBG US sales: underperforming BMW



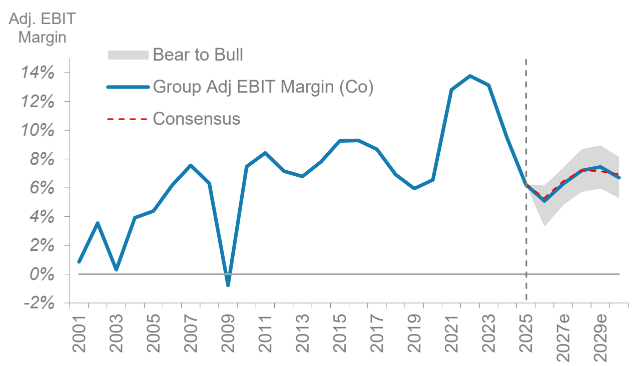

Source: Motor Intelligence, Morgan Stanley Research estimates (e)

**Exhibit 8:** MBG China market share: falling share in a falling market



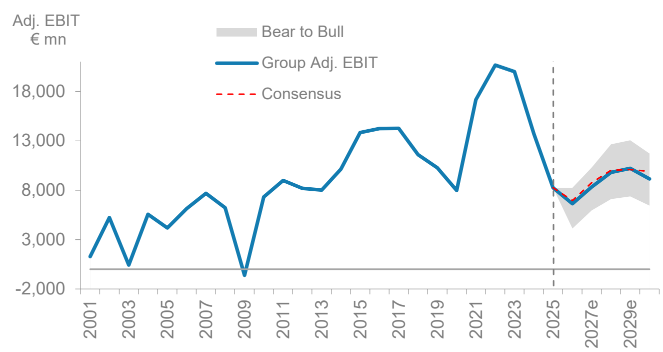

Source: Motor Intelligence, Morgan Stanley Research estimates (e)

**Exhibit 9:** EBIT margin: Consensus looks reasonable



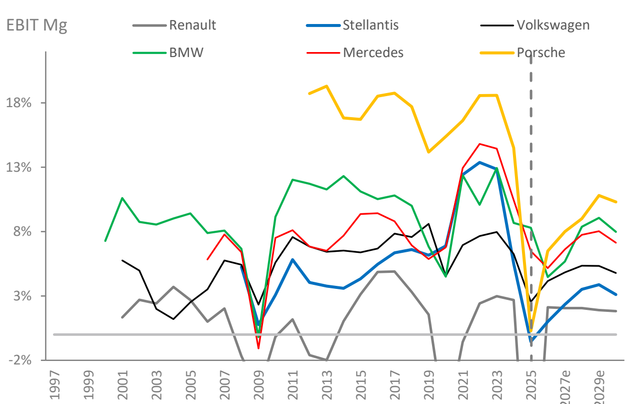

Source: Company data, Morgan Stanley Research estimates

**Exhibit 10:** EBIT (€mn): We are in line with consensus



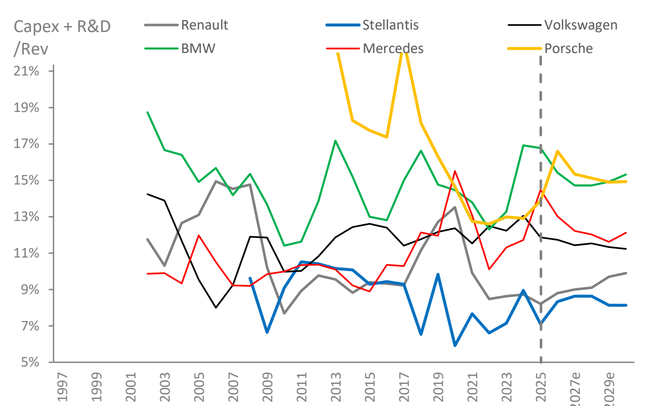

Source: Company data, Visible Alpha, Morgan Stanley Research estimates (e)

**Exhibit 11:** Mercedes' EBIT margin is now slightly above BMW's ...



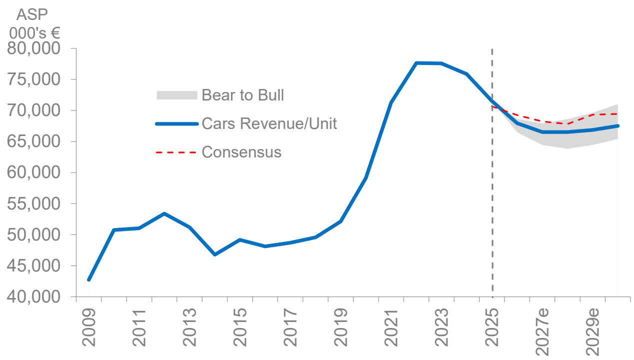

Source: Company data, Morgan Stanley Research estimates (e)

**Exhibit 12:** ... and its capex + R&D is lower, leading to a higher dividend payout (including share buybacks)



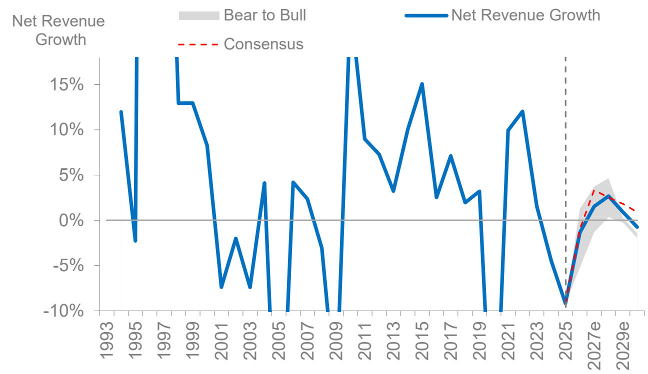

Source: Company data, Morgan Stanley Research estimates (e)

**Exhibit 13:** Price/mix pressure is reflected in consensus expectations (Mercedes average revenue/unit) ...



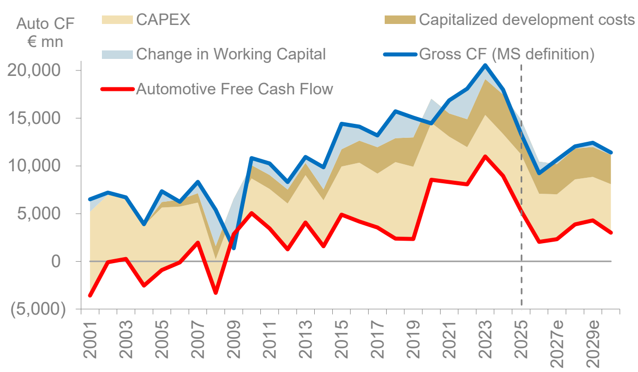

Source: Visible Alpha, Company data, Morgan Stanley Research estimates (e)

**Exhibit 14:** ... impacting net revenue



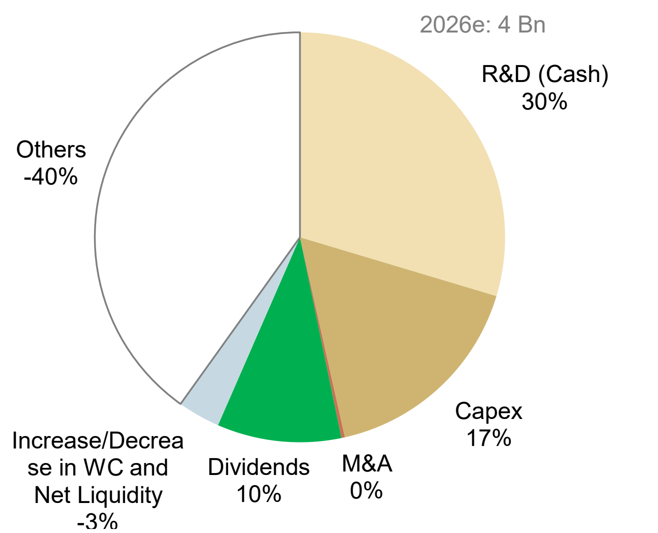

Source: Visible Alpha, Company data, Morgan Stanley Research estimates (e)

**Exhibit 15:** Capex controlled, but still consuming cash flow ...



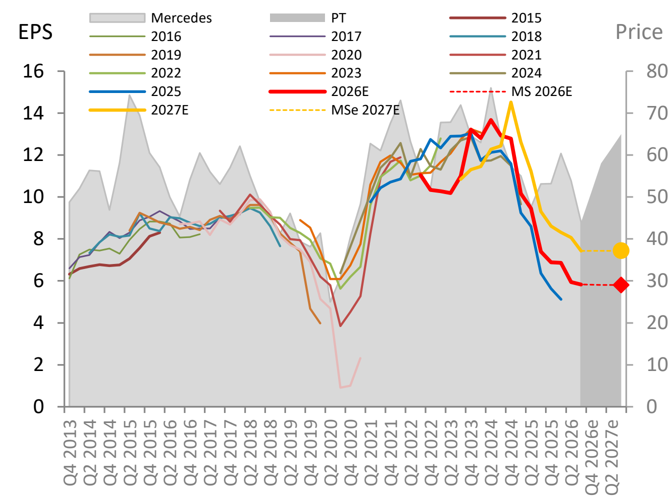

Source: Company data, Morgan Stanley Research estimates (e)

**Exhibit 16:** ... reducing the proportion of gross industrial cash flow for shareholders



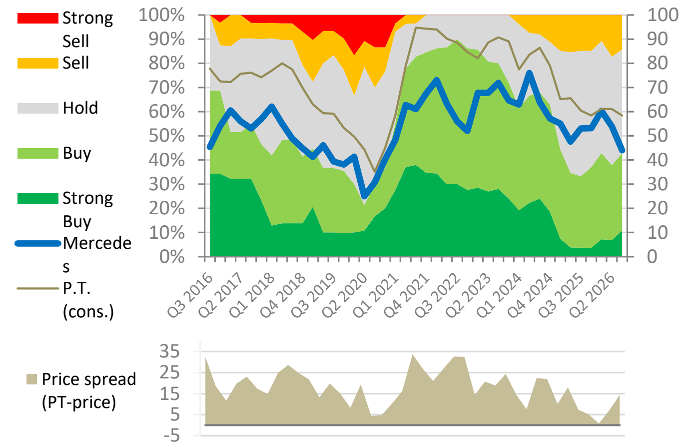

Source: Morgan Stanley Research estimates. Note: Chart shows how Mercedes' gross industrial cash flow is distributed in 2026.

**Exhibit 17:** Consensus revision history: consensus looks reasonable now



Source: Datastream, Morgan Stanley Research estimates (E)

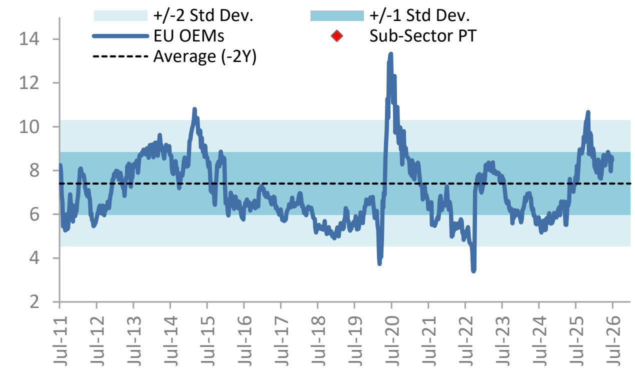
**Exhibit 18:** Rating history: increasing Buy and Sell ratings



Source: Datastream, Morgan Stanley Research

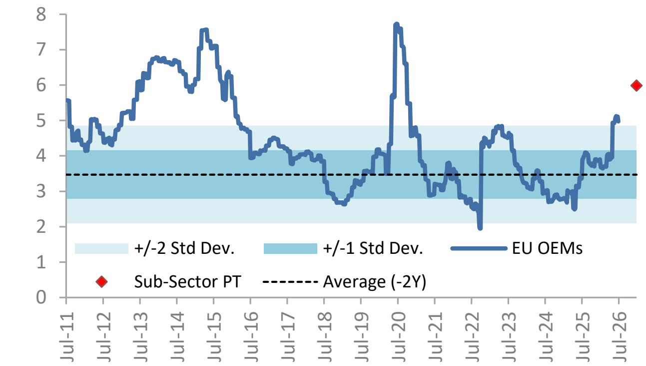
# Mercedes-Benz valuation summary in a few charts

**Exhibit 19:** European Autos P/E



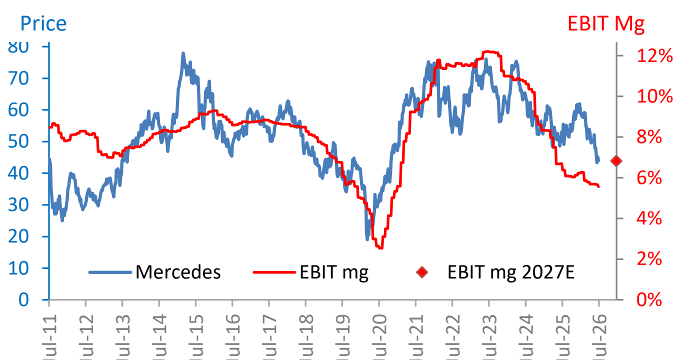

Source: Datastream, Morgan Stanley Research estimates. Note: P/E and sub-sector PT refer to European OEMs (sector PT is implied by our underlying price targets).

**Exhibit 20:** European Autos EV/EBIT



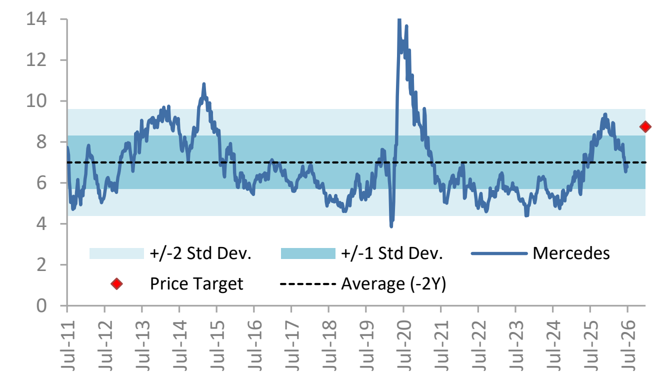

Source: Datastream, Morgan Stanley Research estimates. Note: EV/EBIT and sub-sector PT refer to European OEMs (sector PT is implied by our underlying price targets).

**Exhibit 21:** Mercedes: share price performance driven by EBIT margins



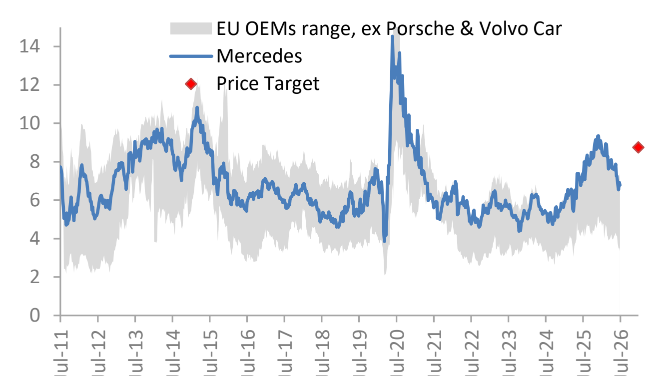

Source: Datastream, Morgan Stanley Research estimates (E)

**Exhibit 22:** NTM P/E: Mercedes



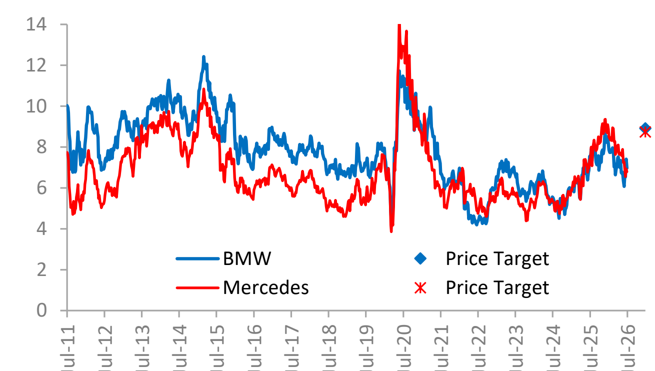

Source: Datastream, Morgan Stanley Research estimates

**Exhibit 23:** NTM P/E: Mercedes vs EU OEMs



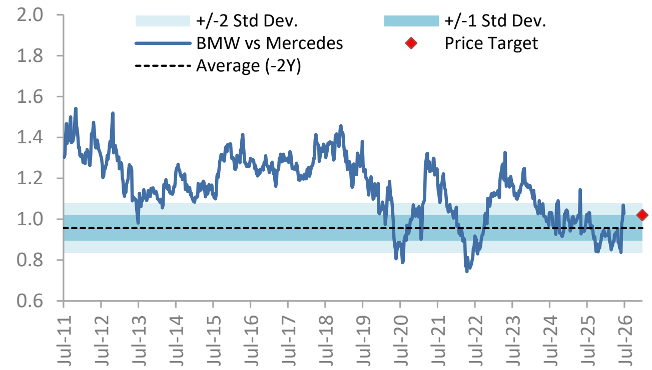

Source: Datastream, Morgan Stanley Research estimates

**Exhibit 24:** NTM P/E: Mercedes vs BMW



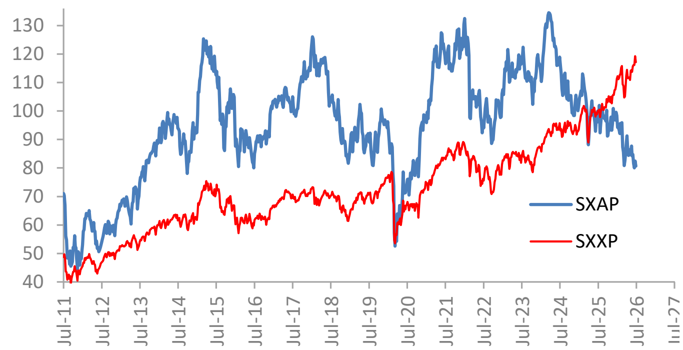

Source: Datastream, Morgan Stanley Research estimates

**Exhibit 25:** NTM P/E: BMW/Mercedes index



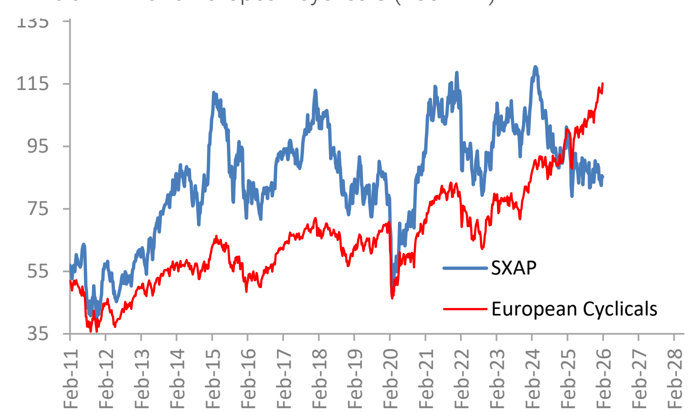

Source: Datastream, Morgan Stanley Research estimates

**Exhibit 26:** EU Autos have underperformed both the European market (100=-1Y)...



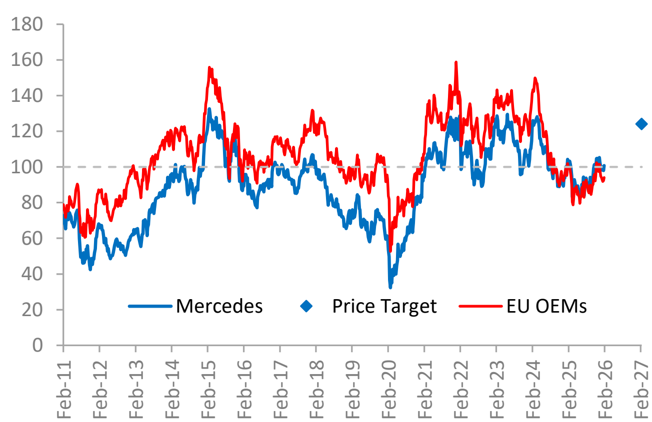

Source: Datastream

**Exhibit 27:** ...and European cyclicals (100=-1Y)



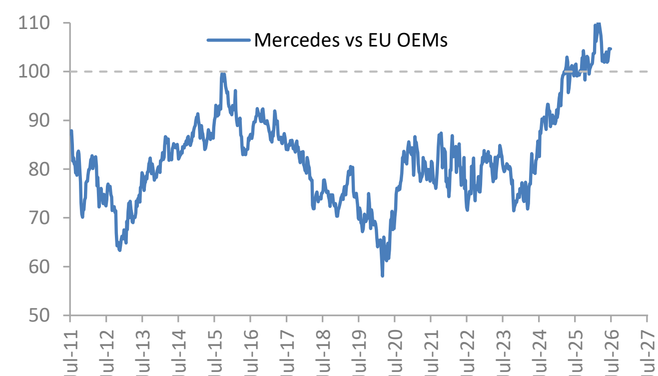

Source: Datastream

**Exhibit 28:** Mercedes vs EU OEMs



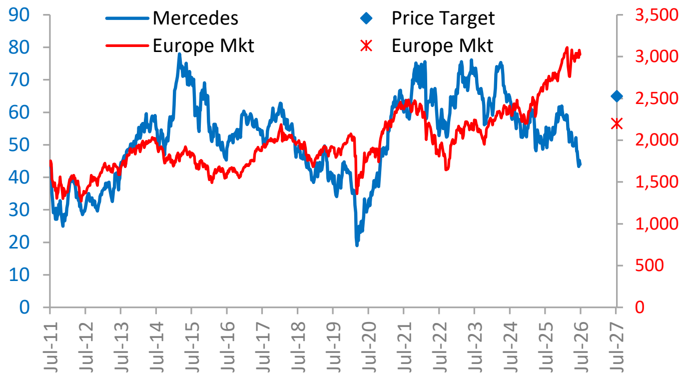

Source: Datastream, Morgan Stanley Research estimates

**Exhibit 29:** Mercedes/EU OEMs



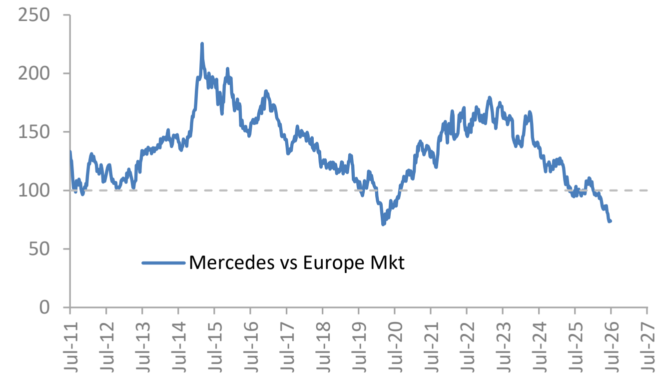

Source: Datastream

**Exhibit 30:** Mercedes vs Europe market



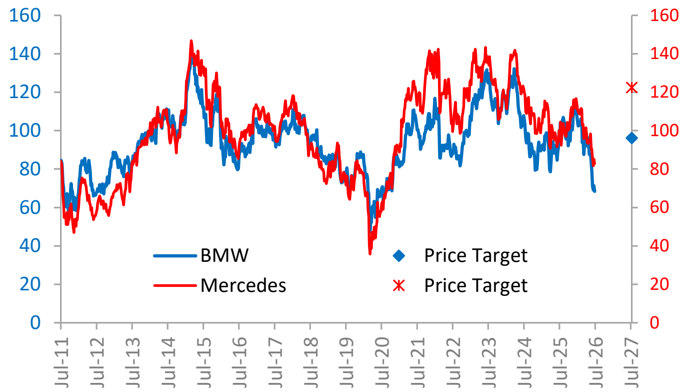

Source: Datastream, Morgan Stanley Research estimates

**Exhibit 31:** Mercedes/Europe market



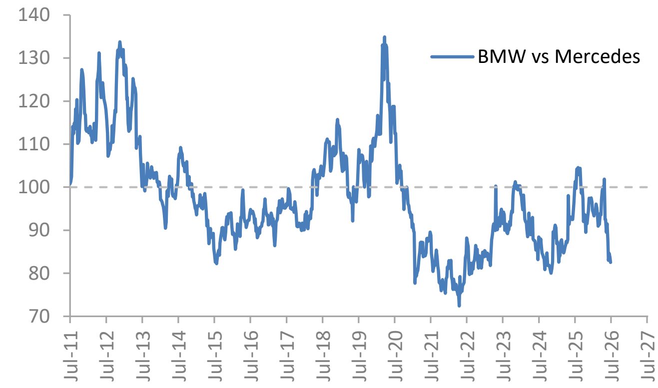

Source: Datastream

**Exhibit 32:** Mercedes vs BMW




Source: Datastream, Morgan Stanley Research estimates

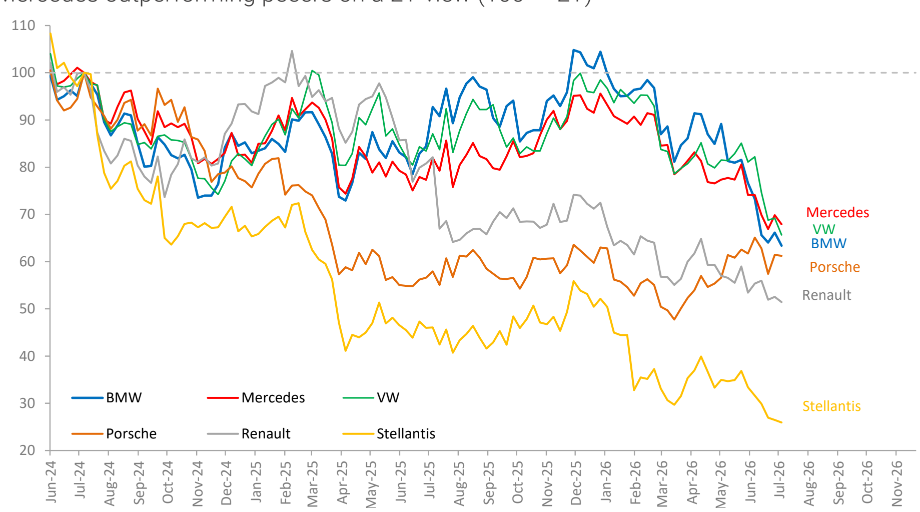
**Exhibit 33:** BMW/Mercedes




Source: Datastream

**Exhibit 34:**

Mercedes outperforming peeers on a 2Y view (100 = -2Y)




Source: Datastream

**Selected Mercedes-Benz reports**:

**EU OEMs: Cheap As Chips** – Tactical Upside in a Structural Downturn (6 Jul 2026)

**Europe-5 June Auto Sales**: Robust market, most EU OEMs keep losing share (6 Jul 2026)

**US June Sales**: market and EU OEMs share up (2 Jul 2026)

**May Global Auto Sales**: flat (24 Jun 2026)

**Global Product Pipeline**: Now or Never (17 Jun 2026)

**EU OEMs**: Going Global: China's Expansion into Europe (16 Jun 2026)

**MBG** in China: May (11 Jun 2026)

**MBG**: 1Q26: Better than Feared (29 Apr 2026)

**European OEMs:** 2026 getting darker (29 Mar 2026)

**MBG NDRS:** Dividend support until growth resumes from 2H26 (23 Feb 2026)

**MBG CMD:** Product Pipeline to drive growth and margins from 2026-27 (12 Feb 2026)

**Face-Off**: Mercedes-Benz vs BMW (6 Feb 2026)

**EU Auto Collection**

# Valuation Methodology and Risks

**BMW (BMWG.DE)**

We value BMW on ~9.2x estimated FY26 EPS of ~€9.9. This multiple reflects continued industry concern about price/mix normalisation and profitability of premium OEMs in China. It is above the stock's long-term average of ~9x, reflecting an improving risk/reward skew following a better geopolitical environment, as well as BMW's track record for margin stability, whilst taking into consideration market risks.

**Risks to Upside**

- EBIT margins remaining elevated for longer than expected
- Shares' multiples rising as economic expectations improve
- BMW proving less vulnerable to BEV competition/price cuts than many expect

**Risks to Downside**

- Auto demand growth slowing again as economic growth fails to pick up
- BEV competition impacting China / global market share / margins
- BMW accelerating investment to meet future BEV plans

**Mercedes-Benz Group AG (MBGn.DE)**

We apply 11.2x FY26e P/E multiple, just below the long-term average, but above recent historical averages, reflecting Mercedes' strategic approach to shareholder returns through paying out 100% of FCF. We remain concerned about price/mix normalisation and China margins, but think the company's cash return strategy continues to drive outperformance. Our PT is based off FY26e EPS of ~€5.8, a decline from recent years but closer to pre-Covid levels.

**Risks to Upside**

- Higher valuation multiples for Mercedes Cars, with much higher EBIT margins / FCF
- Mercedes' BEV story changing the investment narrative
- Execution enabling EPS to stay higher and less cyclical than historically

**Risks to Downside**

- Global credit (and/or China) economic conditions and sentiment remaining weak
- Weaker pricing of Mercedes cars on tougher comps
- Consistently higher investment needs due to global competition

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Within the last 12 months, Morgan Stanley has provided or is providing investment banking services to, or has an investment banking client relationship with, the following company: AUTO1 Group SE, Autoliv, BMW, Continental AG, Daimler Truck Holding AG, Forvia, Iveco Group NV, **Mercedes-Benz Group AG**, Michelin, Opmobility SE, Pirelli & C SpA, Porsche AG, Renault, Stellantis, Traton SE, Valeo SE, Volkswagen, Volvo.

Within the last 12 months, Morgan Stanley has either provided or is providing non-investment banking, securities-related services to and/or in the past has entered into an agreement to provide services or has a client relationship with the following company: Autoliv, BMW, Continental AG, Daimler Truck Holding AG, **Mercedes-Benz Group AG**, Michelin, Opmobility SE, Pirelli & C SpA, Porsche AG, Renault, Stellantis, Traton SE, Volkswagen, Volvo.

Morgan Stanley & Co. LLC makes a market in the securities of Autoliv.

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## Global Stock Ratings Distribution

(as of June 30, 2026)

The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.

For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

| | Coverage Universe | | Investment Banking Clients (IBC) | | | Other Material Investment Services Clients (MISC) | |
|---|---|---|---|---|---|---|---|
| Stock Rating Category | Count | % of Total | Count | % of Total IBC | % of Rating Category | Count | % of Total Other MISC |
| Overweight/Buy | 1544 | 42% | 453 | 49% | 29% | 757 | 44% |
| Equal-weight/Hold | 1577 | 43% | 390 | 42% | 25% | 769 | 44% |
| Not-Rated/Hold | 3 | 0% | 1 | 0% | 33% | 1 | 0% |
| Underweight/Sell | 544 | 15% | 89 | 10% | 16% | 204 | 12% |
| Total | 3,668 | | 933 | | | 1731 | |

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

## Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

## Analyst Industry Views

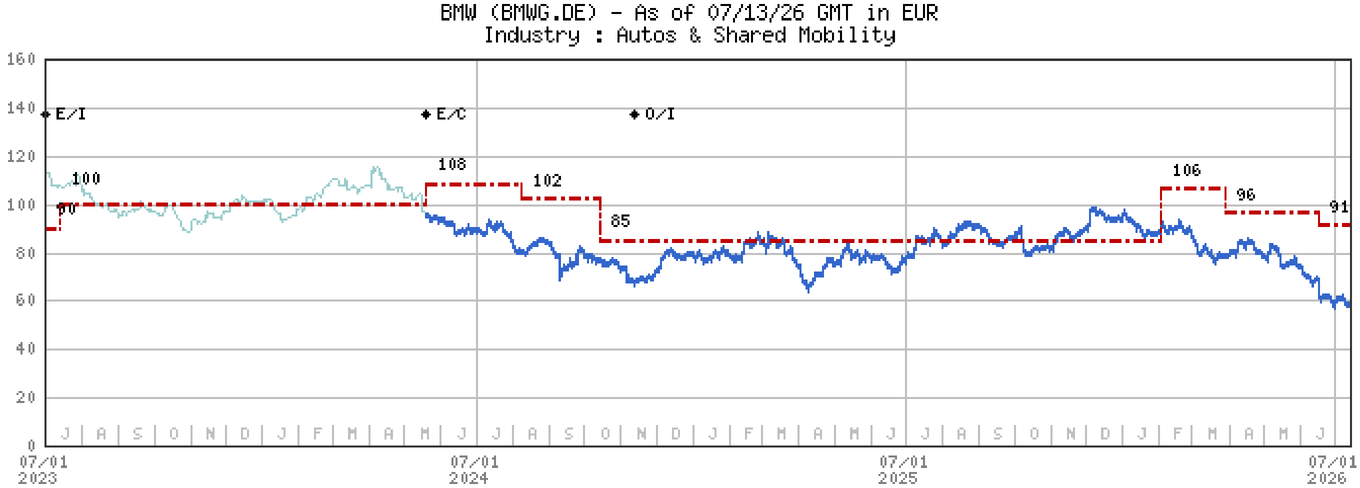
Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

## Stock Price, Price Target and Rating History (See Rating Definitions)



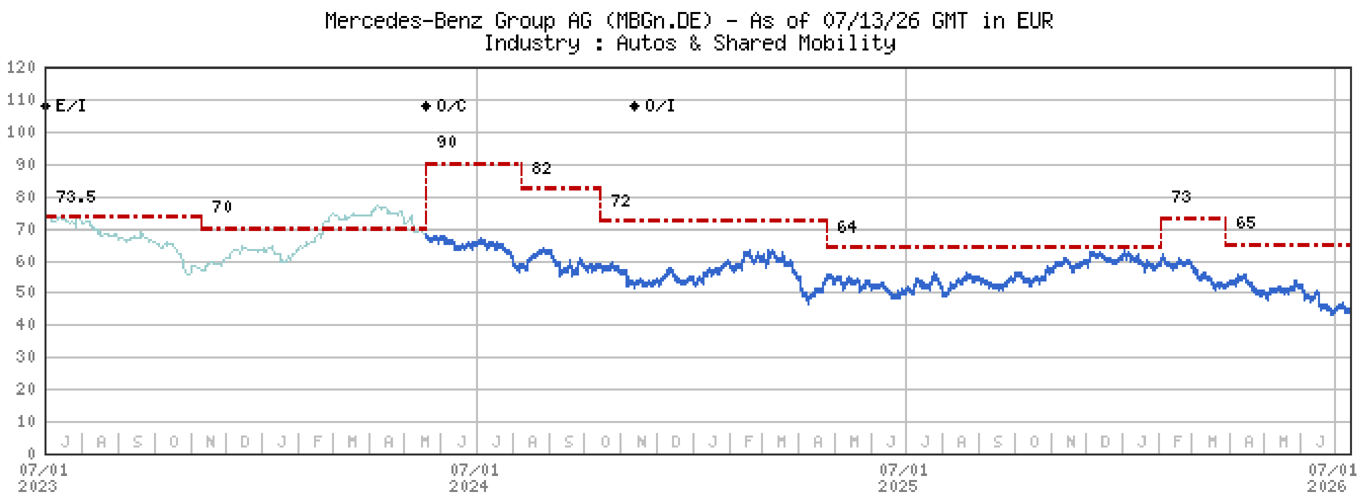

Stock Rating History: 7/1/21 : U/I; 4/26/23 : E/I; 5/20/24 : E/C; 11/12/24 : O/I

Price Target History: 4/16/21 : 80; 10/27/21 : 85; 11/8/21 : 90; 1/25/23 : 85; 4/26/23 : 90; 7/13/23 : 100; 5/20/24 : 108; 8/8/24 : 102; 10/14/24 : 85; 2/3/26 : 106; 3/30/26 : 96; 6/16/26 : 91

Source: Morgan Stanley Research  Date Format : MM/DD/YY  Price Target --  No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst)  Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.




Stock Rating History: 7/1/21 : O/I; 12/14/21 : E/I; 5/20/24 : O/C; 11/12/24 : O/I

Price Target History: 4/19/21 : 80; 12/14/21 : 70; 2/27/23 : 72; 5/11/23 : 73.5; 11/10/23 : 70; 5/20/24 : 90; 8/8/24 : 82; 10/14/24 : 72; 4/25/25 : 64; 2/3/26 : 73; 3/30/26 : 65

Source: Morgan Stanley Research  Date Format : MM/DD/YY  Price Target --  No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst)  Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

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## INDUSTRY COVERAGE: Autos & Shared Mobility

| COMPANY (TICKER) | RATING (AS OF) | PRICE* (07/13/2026) |
|---|---|---|
| **Javier Martinez de Olcoz Cerdan** | | |
| Autoliv (ALV.N) | E (09/24/2021) | US$120.26 |
| BMW (BMWG.DE) | O (11/12/2024) | €57.92 |

| | | |
|---|---|---|
| Continental AG (CONG.DE) | E (06/26/2025) | €72.86 |
| Forvia (FRVIA.PA) | E (03/19/2024) | €9.24 |
| Mercedes-Benz Group AG (MBGn.DE) | O (05/20/2024) | €44.29 |
| Michelin (MICP.PA) | E (12/02/2025) | €34.73 |
| Opmobility SE (OPM.PA) | ++ | €13.37 |
| Pirelli & C SpA (PIRC.MI) | E (09/28/2025) | €6.87 |
| Porsche AG (P911_p.DE) | U (05/20/2024) | €44.60 |
| Renault (RENA.PA) | U (02/03/2026) | €26.18 |
| Stellantis (STLAM.MI) | E (02/03/2026) | €4.93 |
| Stellantis (STLA.N) | E (02/03/2026) | US$5.50 |
| Valeo SE (VLOF.PA) | O (06/26/2025) | €12.51 |
| Volkswagen (VOWG_p.DE) | E (04/25/2025) | €71.44 |
| **Shaqeal A Kirunda** | | |
| Aramis Autos (ARAMI.PA) | O (02/19/2026) | €3.38 |
| AUTO1 Group SE (AG1G.DE) | E (03/26/2024) | €24.62 |
| Daimler Truck Holding AG (DTGGe.DE) | O (01/28/2022) | €42.15 |
| Iveco Group NV (IVG.MI) | ++ | €13.96 |
| Traton SE (8TRA.DE) | U (01/13/2026) | €34.62 |
| Volvo (VOLVb.ST) | E (01/13/2026) | SKr 335.30 |

Stock Ratings are subject to change. Please see latest research for each company.
* Historical prices are not split adjusted.